



[Weekly Market Commentary](#)

Dear clients,

With less than two weeks to go before the US elections, it appears that a lot of capital has already been put to work. That's been evidenced by the drop in global fund managers' cash levels to 3.9% in October – the lowest since February 2021, according to the latest Bank of America survey. The shift in market sentiment has been visible in positioning across the crypto derivatives spectrum from the 25D put-call skew on options to funding rates on perpetual futures. However, our concern is that this may leave fewer marginal buyers of risk in the weeks ahead.

Separately, data from the Federal Reserve's Beige Book for October (a Fed publication about current economic conditions) – alongside comments from several board members this week – reinforced a soft economic picture. This seemingly substantiated the market's decision to focus on US elections over macroeconomic signals this week, as there doesn't appear to be any major deviation in the Fed's easing path. Labor market data next week could still be relevant, however. On the issue of politics, the general elections for Japan's lower parliamentary house on October 27 may also be of significance, as crypto has featured thematically in these elections. The ruling Liberal Democratic Party (LDP) is leading in most polls.

Meanwhile, Stripe purchased stablecoin platform Bridge for \$1.1B in the largest crypto acquisition to date. We think this reflects the increasing importance that traditional institutions attribute to [stablecoins](#) and crypto rails more broadly due to their lower cost, faster settlement, and lower overhead. The importance of crypto payment rails has also been reflected in the crossover between autonomous AI agents and crypto, which has come into the spotlight recently. A large beneficiary of this trend has been Solana, whose trading activity has served as a locus of attention for AI related memecoins.

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Best,
The Coinbase Institutional Team

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